Contemporary Macroeconomic Problems of Bangladesh

Abstract

Bangladesh has achieved remarkable socio-economic progress since its independence, transitioning to a lower-middle-income country. However, in recent years, it faces multifaceted macroeconomic challenges including persistent high inflation, a deteriorating investment climate, and rising unemployment. These economic pressures are compounded by significant social inequalities, governance deficiencies, widespread corruption, and severe environmental vulnerabilities due to climate change. Addressing these complex, interrelated issues requires a comprehensive and coordinated approach, focusing on economic stability, inclusive social development, robust governance, enhanced climate resilience, and accelerated digital transformation to ensure sustainable and equitable progress.

1. Introduction to Macroeconomics

Macroeconomics is the study of how an economy behaves as a whole. It looks at major aspects like national income, overall prices (inflation), employment levels, and economic growth. For Bangladesh, understanding macroeconomics is crucial because it helps identify the large-scale challenges affecting everyone and guides the creation of policies to improve the country's economic health and the well-being of its citizens. Effective macroeconomic management aims to maintain stability, promote growth, and ensure inclusive development.

2. Key Problems of Macroeconomics

Bangladesh is currently grappling with several significant macroeconomic problems that hinder its path to sustainable development:

- **High and Persistent Inflation:** The country has experienced consistently high inflation rates for decades, eroding the purchasing power of its citizens. This "tax" on income disproportionately affects the poor and vulnerable.

- **Deteriorating Investment Climate:** Businesses face difficulties due to currency depreciation, dollar shortages, high interest rates, and a challenging regulatory environment. This discourages both domestic and foreign investment, limiting job creation.
- **Rising Unemployment and Jobless Growth:** Despite economic growth, Bangladesh struggles to create enough quality jobs, particularly for its youth. This "jobless growth" exacerbates social discontent and means the benefits of economic expansion are not broadly shared.
- **Exchange Rate and Foreign Reserve Pressure:** The Bangladesh Bank's (BB) past manipulation of the exchange rate has undermined the competitiveness of exports. This, combined with external pressures, has led to a sharp depreciation of the Taka and a severe depletion of foreign exchange reserves, as shown in Figure 1. Figure 2 provides a more detailed look at how the country's financial account inflows have been unable to offset the current account deficit, putting pressure on reserves.

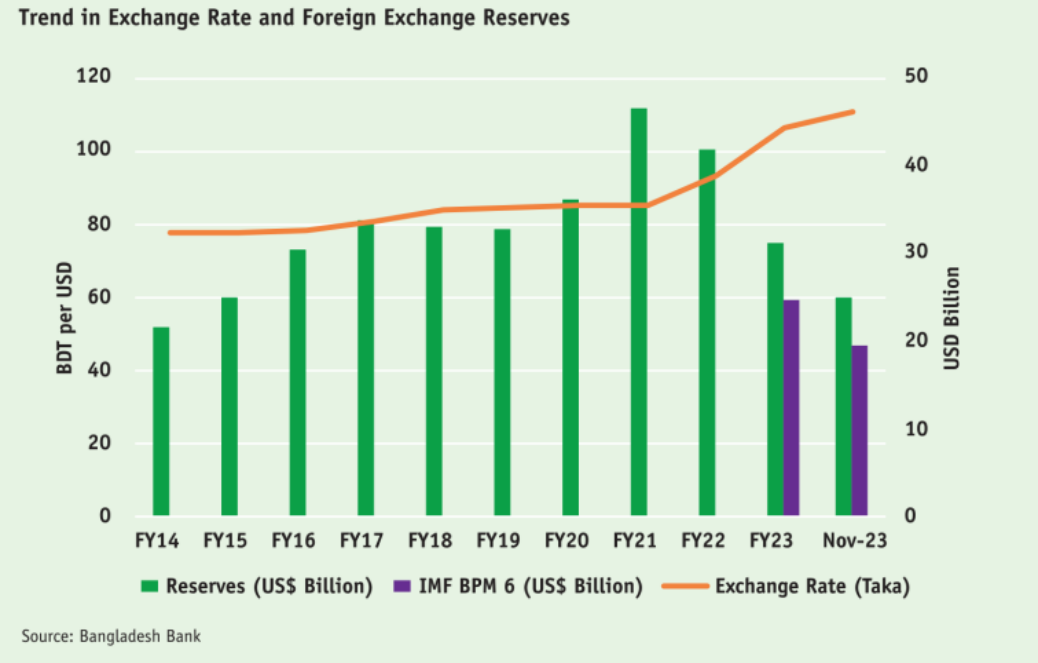

Figure 1: Trend in Exchange Rate and Foreign Exchange Reserves *(Source: Bangladesh Bank)*

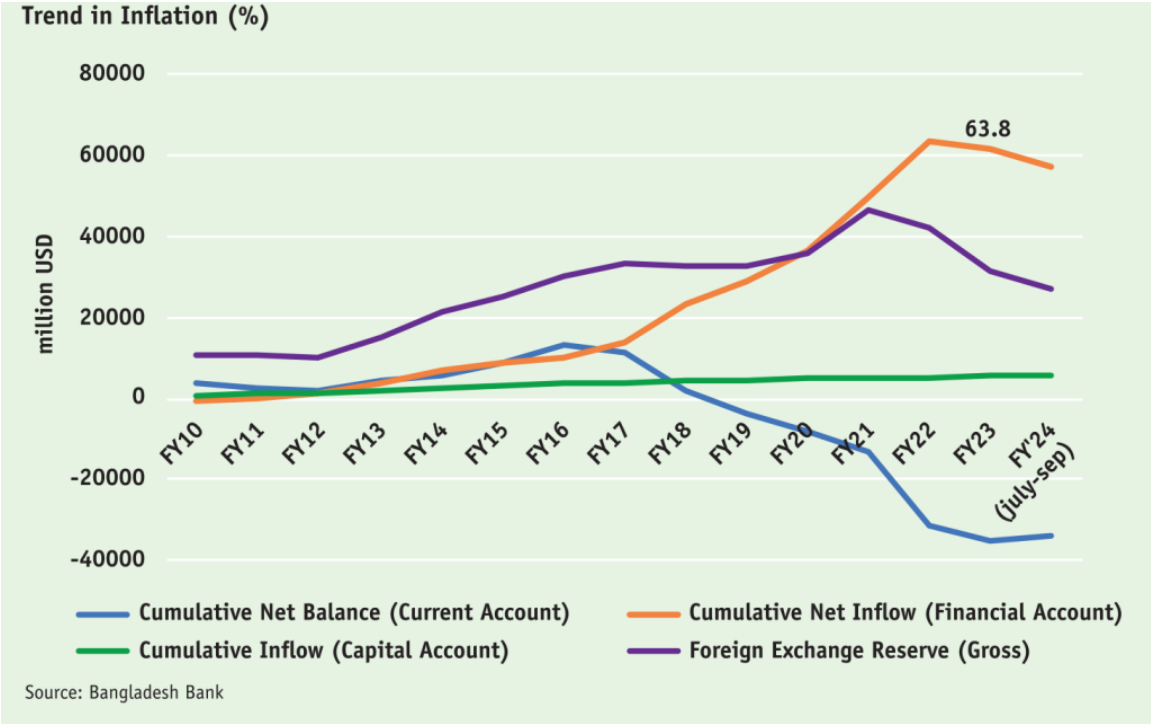

Figure 2: Cumulative Account Balances and Foreign Exchange Reserve *(Source: Bangladesh Bank)*

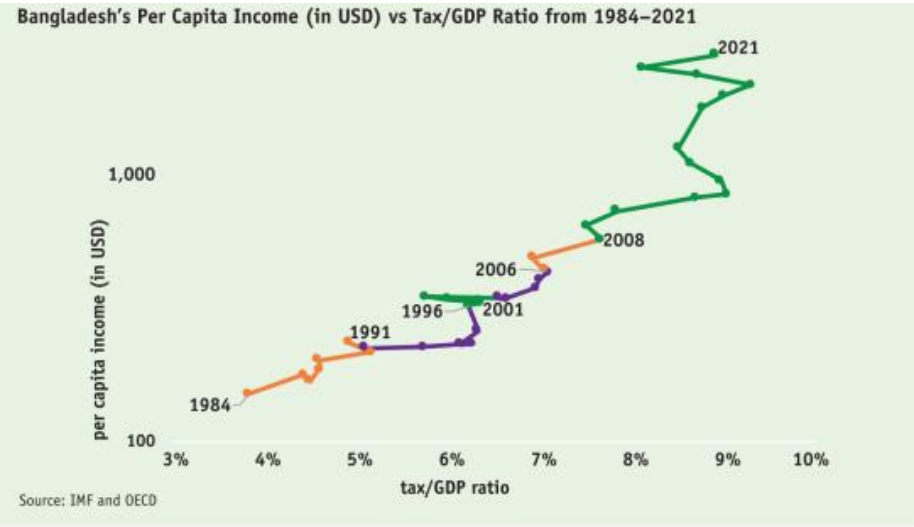

Figure 3: Bangladesh's Per Capita Income vs Tax/GDP Ratio (1984–2021) *(Source: IMF and OECD)*

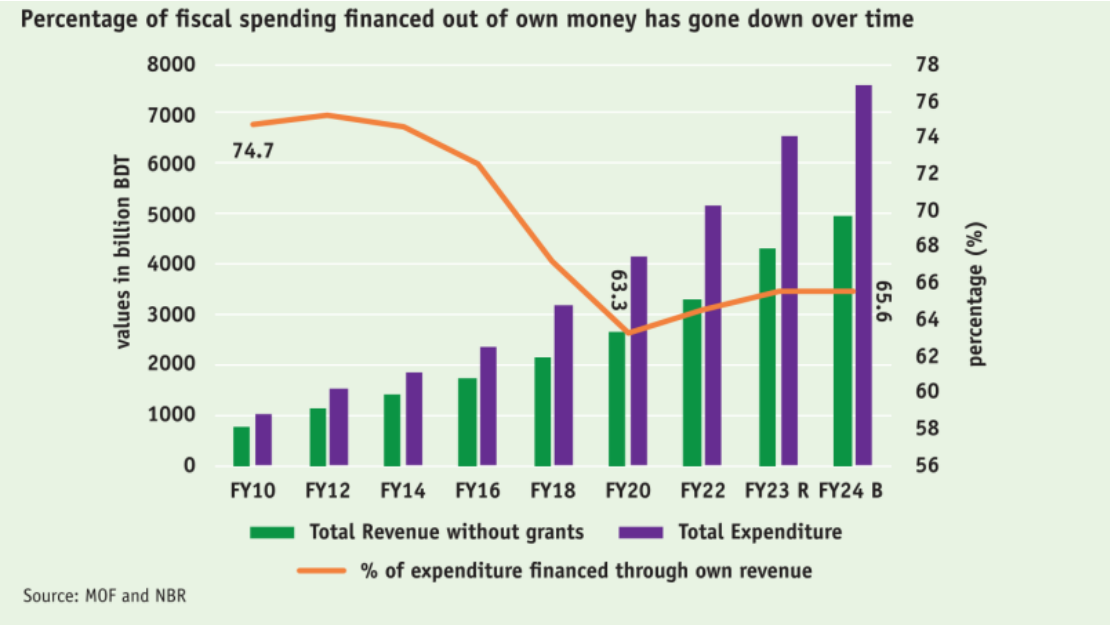

Figure 4: Percentage of Fiscal Spending Financed Through Own Revenue
(Source: MOF and NBR)

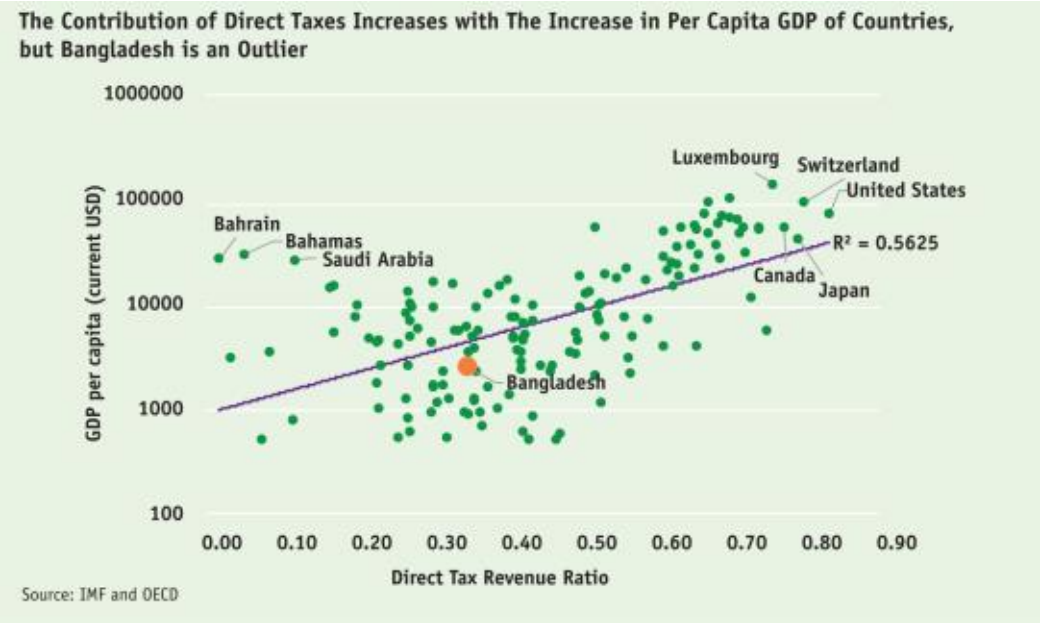

Figure 5: GDP Per Capita vs. Direct Tax Revenue Ratio (Global Comparison) *(Source: IMF and OECD)*

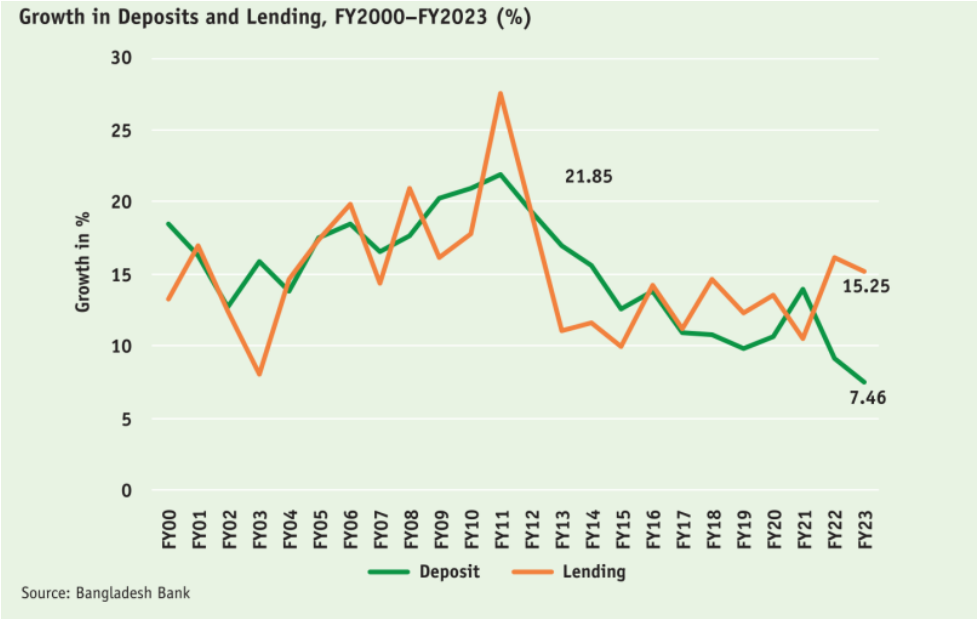

Figure 6: Growth in Deposits and Lending, FY2000–FY2023 (%) *(Source: Bangladesh Bank)*

- **Weak Public Financial Management:** Revenue mobilization remains critically low compared to GDP. Figure 3 shows that while per capita income has risen, the tax-to-GDP ratio has stagnated. This has led to a persistent budget deficit and an increasing reliance on borrowing. The government's ability to finance spending from its own revenue has steadily declined over the last decade, as illustrated in Figure 4. Furthermore, Bangladesh remains an outlier internationally in its low collection of direct taxes (Figure 5).
- **Financial System Weaknesses:** The banking sector suffers from poor supervision, government intervention, and a high number of non-performing loans, leading to financial regression. The growth in deposits and lending has been volatile and has slowed in recent years, reflecting stress in the system (Figure 6).
- **Poor Governance and Widespread Corruption:** Corruption is a pervasive issue at various levels of administration, undermining public trust, diverting resources, and exacerbating inequality.
- **Climate Change Vulnerability:** Bangladesh is highly susceptible to the impacts of climate change, including floods, rising sea levels, and natural disasters, which pose significant threats to livelihoods and economic stability.

3. Trend Analysis

Here's a look at some key macroeconomic trends in Bangladesh:

Table 1: GDP Growth Rate (Annual %)

Fiscal Year	GDP Growth Rate (%)	Notes
FY2018-19	7.88	Record high
FY2019-20	3.45	Due to COVID-19 pandemic
FY2020-21	6.94	
FY2021-22 (p)	7.25	Provisional
Estimated 2023	5.5	
Estimated 2024	6.5	
Forecast FY2024-25	Government: 6.75%; ADB: 3.9%; IMF: 3.3% (H1)	Significant discrepancy in forecasts

Table 2: Inflation Rate (CPI)

Period	Inflation Rate (%)	Notes
FY2021-22 (Avg)	6.15	
June 2022	7.48	Point-to-point
May 2023	9.94	
FY2023-24 (Avg)	9.73	
2024 (Jan-Dec Avg)	10.34	Highest in 13 years (since 2011)
FY2025-26 (BB hope)	Below 5	
FY2029 (IMF Est.)	5	

Table 3: Unemployment Rate (Overall)

Year	Unemployment Rate (%)
2021	5.2
2023	4.15
2024	4.48
Q3 2024 (Oct-Dec)	4.63

Table 4: Investment (% of GDP)

Fiscal Year	Investment	Public Investment	Private Investment
FY2005-06	26.10%	5.8%	-
FY2015-16	30.24%	-	-
FY2020-21	31.02%	-	24-25% (since 2017)
FY2021-22 (p)	31.68%	7.6%	24-25% (since 2017)
Average (FY09-FY22)	**29.96%**	-	-
FY2029 (IMF Est.)	**34.3%**	**8.1%**	**26.2%**

Table 5: Budget Deficit (% of GDP) and Revenue

Fiscal Year	Budget Deficit	Revenue Earnings	Tax Revenue
FY2005-06	-	8.83%	7.05%
FY2020-21	-	9.3%	7.6%
Average (since 1981)	**4.6%**	-	-
FY2029 (IMF Est.)	**5%**	**10.2%**	**9.5%**

4. Impact of 2024 Turmoil

The July-August 2024 turmoil, which led to the resignation of the former government, significantly impacted Bangladesh's economy and society. This political unrest disrupted economic activities in the industrial and service sectors. It worsened law and order, with incidents of vandalism and arson occurring across the country. The popular uprising was fueled by deep socio-economic discontent, linking political instability directly to underlying issues like economic hardship and inequality. Mobile internet connectivity was also disrupted in various parts of the country, further affecting communication and public trust in state institutions. The IMF cited these economic disruptions, combined with tighter policies and heightened uncertainty, as factors weighing on investment and causing GDP growth to fall in the first half of FY2024-25.

5. A Core Macroeconomic Issue: Inflation

Inflation refers to the general increase in prices for goods and services over time, which reduces the purchasing power of money. In Bangladesh, inflation has been a persistent and growing concern.

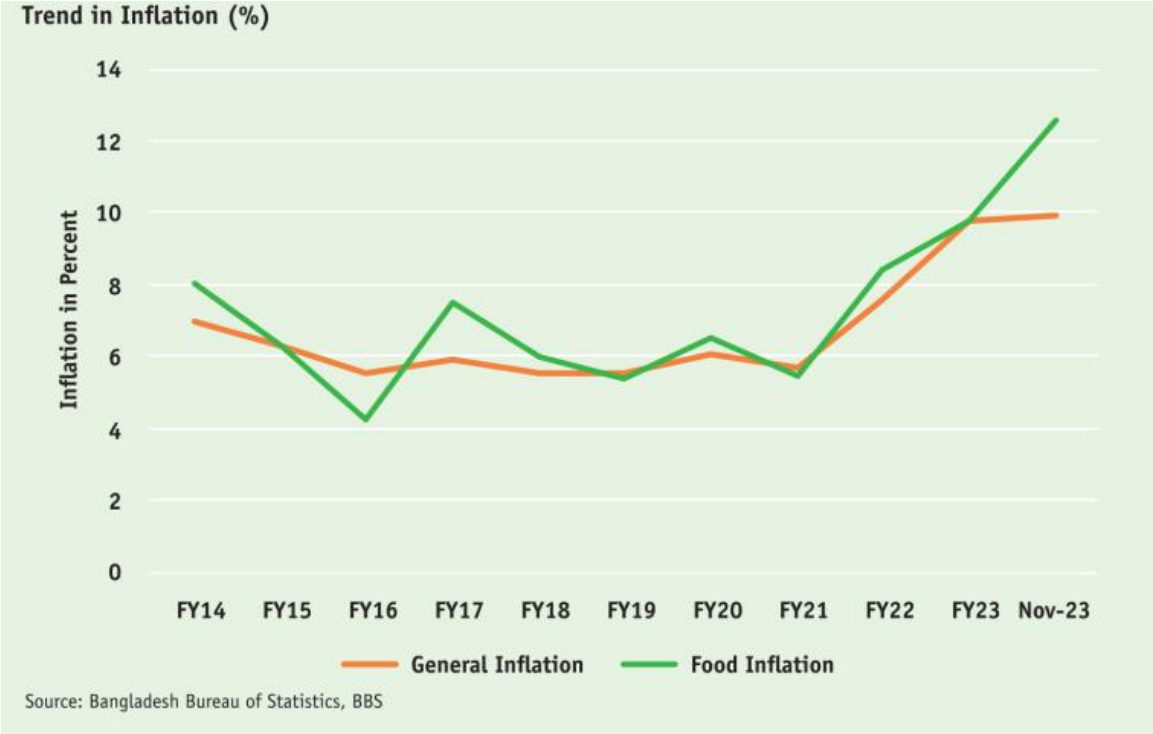

Figure 7: Trend in Inflation (%) *(Source: Bangladesh Bureau of Statistics, BBS)*

How it works: Imagine you could buy 10 items for a certain amount of money last year. If inflation is high, the same amount of money might only buy you 8 items this year. This means your money is worth less, and your "real" income (what you can actually buy) decreases.

Causes in Bangladesh:

- **Monetary Accommodation and Budget Deficits:** The government has a history of financing its budget deficits by borrowing from the central bank, which increases the money supply and leads to higher prices.
- **Exchange Rate Overvaluation:** For decades, the Bangladesh Bank (BB) has artificially kept the Taka stronger than its true market value. This hurts local exporters and leads to foreign currency shortages. When the Taka eventually depreciates sharply, it makes imports more expensive, contributing to inflation.
- **Structural Issues and Market Inefficiencies:** Inflation is also caused by supply chain problems, weak regulations, and lack of competition, where "syndicates" can artificially increase prices.
- **External Shocks:** Global events like the COVID-19 pandemic and the Russia-Ukraine war have led to higher prices for energy and commodities worldwide, which directly lead to "imported inflation" in Bangladesh.

Impact on People: When inflation is high, the real income of ordinary people, especially the poor, decreases as their wages cannot keep pace. Many households are forced to use their savings for daily expenses, leading to widespread financial distress. It also creates uncertainty for business investment.

6. Suggested Reforms/Actions

Addressing Bangladesh's macroeconomic challenges requires a multi-pronged and coordinated approach:

I. Strengthening Macroeconomic Stability

- **Inflation Control:** Implement strict monetary policies, float the Taka to be market-determined, address market inefficiencies, and strengthen monitoring to prevent syndicates.
- **Investment Climate:** Address the dollar crisis, simplify regulations, ensure uninterrupted energy supply, and curb corruption to attract investment.

- **Revenue Mobilization and Fiscal Discipline:** Implement comprehensive tax reform to increase the tax-to-GDP ratio. As a model, South Korea successfully transitioned its reliance from indirect to direct taxes over time (Figure 8). Control unnecessary government expenditures and adopt a cash budget to eliminate the budget deficit.

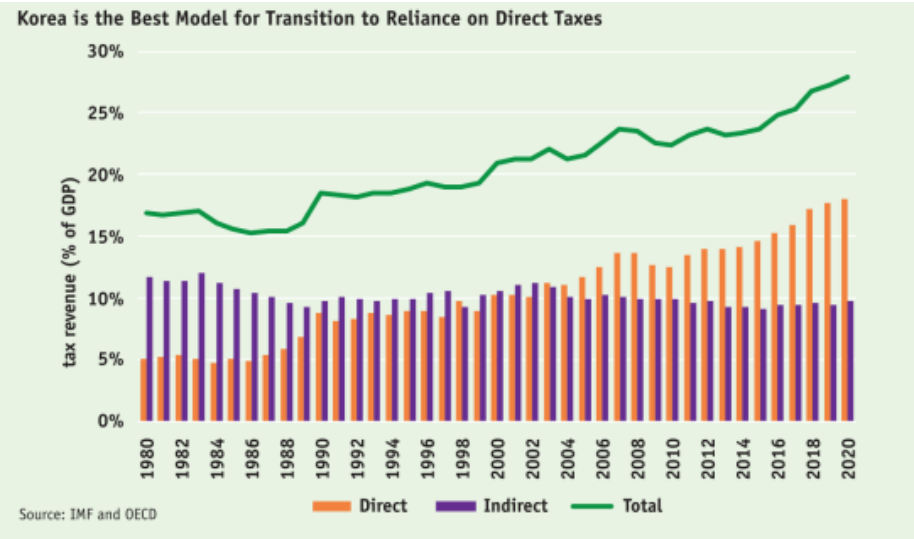

Figure 8: Korea as a Model for Transition to Reliance on Direct Taxes *(Source: IMF and OECD)*

II. Ensuring Inclusive Social Development

- **Poverty and Inequality:** Strengthen social safety nets, ensure equitable land distribution, and implement progressive tax policies.
- **Education and Human Resources:** Prioritize practical skills, invest in TVET and STEM fields, and bridge the gap between education and labor market demands.
- **Healthcare:** Expand medical facilities to rural areas, introduce affordable health insurance, and improve nursing and paramedic education.

III. Establishing Good Governance and Combating Corruption

- **Combating Corruption:** Strengthen institutions like the Anti-Corruption Commission (ACC), enforce strict laws, and increase transparency in public administration.
- **Political Stability:** Foster inclusive political dialogue, strengthen democratic institutions, and establish the rule of law to restore public trust.

IV. Climate Resilience and Environmental Protection

- **Adaptation and Mitigation:** Effectively implement the BCCSAP, strengthen the CCTF, invest in climate-resilient infrastructure, and promote renewable energy.
- **International Cooperation:** Actively engage with international partners for climate finance and technology transfer.

V. Infrastructural Development and Digital Transformation

- **Power Sector:** Increase efficiency, implement cost-reflective pricing, and diversify the energy mix with a focus on renewables.
- **Communication Infrastructure:** Ensure timely completion of quality mega-projects and formulate clear maintenance policies.
- **Digital Inclusion:** Expand high-speed internet to rural areas, encourage indigenous technology innovation, and promote R&D investment.

7. Conclusion

Bangladesh stands at a critical juncture. While the contemporary macroeconomic problems are significant and deeply intertwined, the country possesses an inherent resilience and a proven track record of overcoming challenges. The comprehensive reforms suggested, if implemented purposefully and consistently, have the potential to address the underlying distortions, stabilize the economy, and unlock its full growth potential. By fostering good governance, enhancing human capital, promoting sustainable development practices, and prioritizing inclusive growth, Bangladesh can move beyond its current difficulties to achieve its aspirations of becoming a truly prosperous, developed, and "Smart Bangladesh". The path forward is not easy, but with collective effort and a commitment to genuine reform, an optimistic yet realistic future for Bangladesh is within reach.

References

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